FMRP — Study Guide

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FMRP — Study Guide

A concise guide to the Financial Markets Regulatory Practices examination: the conduct, control and market-practice expectations for wholesale financial-market activity in Singapore. It condenses the official study guide into what the examination tests, section by section.

- **Exam:** 100 multiple-choice questions, 2 hours, **75% to pass**. (The syllabus stub in this repo prints 70%; the current IBF pass mark is 75%, and the mock grades against it.)
- **Currency of the rules:** the official guide states its rules as updated at 8 May 2018. Confirm the current MAS, IBF, statutory and market-practice requirements before relying on a point operationally.

How to use this guide

- Every chapter ends with **Exam cues** — what is tested, the deciding distinction and the common trap.
- The subject is a control chain: know the market and authority → act ethically → protect information → govern and measure risk → execute fairly → confirm and settle → manage disruption → preserve benchmark integrity. A strong answer names the **role, authority, information boundary, control, escalation path and record**.
- The guide's Appendix A questions are for familiarisation with scope and format; they do not cover all examinable material.

Chapter 1 — Introduction

The market map: what the markets do, who participates, which institutions regulate or support them, and why authority must be checked activity by activity. Every later chapter assumes this institutional picture.

Learning Objectives

The candidate should be able to:

- Identify the markets within scope and the products covered.
- Distinguish the roles of the institutions that intermediate the wholesale markets.
- Explain the powers of MAS and the statutory framework it administers.
- Distinguish the professional bodies from the statutory regulator and state what each contributes.
- Check which licence or registration a given activity requires.

1.1 Introduction to this Guide

The FMRP syllabus sets the conduct, control and market-practice expectations for wholesale financial-market activity in Singapore. It is a study aid, not a substitute for the legislation, MAS notices, contractual documents or the employer's procedures.

The Guide's focus — the **Blue Book** scope — is the wholesale market rather than equity-market conduct generally. It covers:

- **a.** Foreign exchange (FX)
- **b.** Non-deliverable forwards (NDFs)
- **c.** Money-market instruments, such as certificates of deposit that are not considered securities
- **d.** Debt securities
- **e.** Securities borrowing and lending
- **f.** Singapore Government Securities (SGS)
- **g.** OTC derivatives

1.2 Financial Markets Structure

1.2.1 What Are Financial Markets?

Financial markets consist of both primary and secondary markets. In the **primary** market, the origination and new issuance of securities or loans raises capital. In the **secondary** market, investors and financial institutions — Market Participants — trade existing securities and derivatives to make profit, hedge positions or manage risk. Financial intermediaries match investors with borrowers and buyers with sellers.

For markets to function efficiently and effectively, four features must be present:

- **i.** Sufficient **active Market Participants** to ensure liquidity.
- **ii.** The market is reasonably **transparent** and participants can see prices dealt.
- **iii.** The market has **clear and enforceable rules** that facilitate orderly trading and prohibit market misconduct.
- **iv.** Dealing is performed on a fair and objective **"best deal"** basis, not on personal relationships or other extraneous considerations.

1.2.2 Types of Financial Markets

1.2.2.1 Foreign Exchange Markets The FX market facilitates the exchange of money from one currency to another and helps determine relative currency values. It enables international trade and investment by allowing currency conversion and the management of FX exposure. It is the **largest financial market in the world**.

1.2.2.2 Money Markets Money markets facilitate **short-term borrowing and lending with original maturities of one year or shorter**. Common instruments are Treasury bills, commercial paper, bankers' acceptances, certificates of deposit and other short-term securities. They provide liquidity and funding for market participants.

1.2.2.3 Capital Markets Capital markets channel longer-term funds. **Medium-term funds** usually means maturities exceeding a year. The capital markets comprise the **stock or equity market** (equity securities) and the **debt market** (debt securities); the debt market is also called the credit or fixed-income market. They give investors opportunities to invest in long-term assets.

1.2.2.4 Securities Markets and Exchanges Securities markets or exchanges facilitate trading of equities, debt securities and derivatives. Products are **"listed"** on exchanges that facilitate trading, clearing and settlement.

1.2.2.5 Derivatives Markets Derivatives markets facilitate trading in instruments derived from other underlying assets — FX, debt, equities or commodities. Participants hedge financial risk and exposure to the underlying.

There are two types. **Exchange-traded** derivatives markets trade standardised futures and options. **OTC** derivatives markets trade both standardised and bespoke derivatives.

1.3 Functions of Key Players and Institutions

Each institution performs a different intermediation, risk-pooling, advisory, custody, trust or payment function. Correctly identifying a counterparty's role determines the licensing, conduct and settlement controls that apply.

Institution	Function
Banks	Deposits, payments, credit, market-making, liquidity
IDBs	Intermediate between participants, relay bids and offers, preserve anonymity, aid p
Finance companies	Financing without being banks
Insurance companies	Pool policyholder risk, invest premiums
Capital-markets intermediaries	Execute, arrange or advise on securities and derivatives
Financial advisers	Advise or arrange advice on investment products
Insurance brokers	Intermediate between policyholders and insurers
Trust companies	Hold or administer property for beneficiaries
Money-changing and remittance	Currency conversion and cross-border transfer

1.3.1 Banks

1.3.1.1 Commercial Banks Commercial banks are financial intermediaries providing transactional services — retail and institutional — and correspondent banking. They offer savings, current and time deposit accounts, and extend loans and other credit facilities. They also provide trade-financing services through documentary letters of credit and guarantees.

Most maintain a **branch network** for retail and corporate customers. Increasingly they act as intermediaries distributing other products such as unit trusts and insurance. The scope of a bank's activity is set by the **type of licence it holds**, and permitted activities vary between jurisdictions.

1.3.1.2 Investment Banks Investment banking may be carried out by a separate institution — an investment bank or merchant bank — or inside a commercial bank licensed to do so. The core activities are:

- **i. Underwriting.** The bank underwrites the take-up and subscription of, and may guarantee a price for, bonds, shares or loans, earning a fee for the commitment.
- **ii. Mergers and acquisitions.** Advising a customer on acquiring or merging with another entity. Many transactions also need financing — equity or debt — and the arranging, underwriting, syndicating and selling down of the securities. Fees are advisory, plus a success fee on completion.
- **iii. Sales and trading (flow business).** Making markets for the securities the bank originated, ensuring a healthy two-way market so investors have ongoing liquidity. Dealers take trading positions and must then manage the resulting currency and interest-rate exposure, plus credit risk on the underlying.
- **iv. Proprietary trading.** Taking a position without underlying or expected customer demand, with profit or loss flowing directly to the bank's bottom line.

1.3.1.3 Private Banks A private bank may be a separate entity or a division of a commercial bank providing relationship and transaction management to **high-net-worth private individuals**. Sometimes called private wealth management, it incorporates financial planning, portfolio management and aggregated services that may include estate and tax planning.

1.3.2 Inter-Dealer Brokers

IDBs are wholesale intermediaries facilitating trading and execution by **matching buyers and sellers**. They aid price discovery, especially for products that lack liquidity or are bilaterally negotiated, acting between two financial institutions and **not as a principal**. They earn brokerage fees.

Money-broking services in the FX and money markets in Singapore, acting as intermediary between banks and financial institutions, require formal approval as **"money brokers" under the MAS Act**. **IDBs cannot act as principal or take positions** in the FX and money markets. Once registered, an IDB complies with requirements in its approval letter and with the Blue Book.

IDBs do not deal in securities unless operating under an exemption. A licensing exemption — the **"Bond Dealing Exemption"** — is available to Market Participants wishing to trade bonds and Singapore Government Securities.

1.3.3 Finance Companies

Finance companies provide **small-scale financing**: instalment credit for motor vehicles and consumer durables, and mortgage loans for housing. They **may not offer deposit accounts repayable on demand** by cheque, draft or order, but may offer term deposits. They are licensed and governed by the **Finance Companies Act**.

1.3.4 Insurance Companies

Registered insurers are approved under **section 8 of the Insurance Act** to conduct life and/or general insurance business in Singapore, registered as **direct insurers, reinsurers or captive insurers**.

1.3.5 Capital Markets Intermediaries

Capital markets intermediaries are licensed and regulated under the **SFA**. They may provide dealing in securities, trading in futures contracts, leveraged FX trading, advising on corporate finance, fund management, REIT management, securities financing, custodial services for securities and credit rating services. This Guide calls them **CMS Licence holders**; the licence itself is covered in 1.4.4.

1.3.6 Financial Advisers

Financial advisers are licensed and regulated under the **Financial Advisers Act**. With the appropriate licence they may provide the entire range of advisory services in the **Second Schedule**: advising customers on

investment products, issuing research reports covering investment products, marketing collective investment schemes, and arranging life policies.

1.3.7 Insurance Brokers

Insurance brokers are **registered under the Insurance Act** and act as agent of the insured entity. They may act for a prospective insured in respect of general insurance, long-term accident and health policies, and reinsurance of liabilities under life and general business policies.

1.3.8 Trust Companies

Trust companies are licensed under the **Trust Companies Act** and may provide the entire range of trust services in the **First Schedule**: services for creating an express trust, acting as trustee of an express trust, arranging for another person to act as trustee, and trust administration in relation to an express trust.

1.3.9 Money-Changing and Remittance Businesses

Money-changing and remittance businesses are licensed under the **Money-Changing and Remittance Businesses Act**. MAS supervises them principally for **anti-money laundering and countering the financing of terrorism**. Money-changing may be conducted as a sole proprietorship, partnership or company, and licensees must **display the exchange rates** they offer at their business premises.

1.4 Regulatory Bodies and the Regulatory Framework in Singapore

The framework combines legislation, MAS rules and notices, professional codes, market conventions and internal controls. The obligation that applies depends on the **activity, institution, product, customer and location** of the conduct.

1.4.1 The Role of Central Banks and the Monetary Authority of Singapore

MAS is Singapore's central bank and financial regulatory authority. It administers statutes on money, banking, insurance, securities, currency issuance and the financial sector generally.

Its four functions are to:

- **i.** act as central bank, overseeing monetary policy, currency issuance and payment systems, and serving as banker and financial agent to the Government;
- **ii.** conduct integrated supervision of financial services and financial-stability surveillance;
- **iii.** manage the official foreign reserves; and
- **iv.** develop Singapore as an international financial centre.

In supervision, MAS adopts a **risk-focused, stakeholder-reliant, disclosure-based and business-friendly** approach, working closely with institutions and stakeholders. Primary responsibility for prudential soundness and professional market conduct lies with the institution's **board and senior management**; MAS looks to them to address supervisory concerns and supports their efforts to maintain sound risk management commensurate with their business and risks.

Depending on institution type and activities, the following statutes may apply:

- **a.** Banking Act
- **b.** Monetary Authority of Singapore Act
- **c.** Securities and Futures Act
- **d.** Financial Advisers Act

Non-compliance may attract **civil and/or criminal liability**, punishable with a fine and/or imprisonment. Beyond statute and regulation, a licensed institution and its Representatives must comply with MAS **notices and guidelines**.

1.4.2 Types of Banking Licenses Issued by the MAS

Banking business may be transacted in Singapore only by an entity holding a valid banking licence granted by MAS. MAS periodically issues regulations and guidelines covering these activities.

Licence	Business permitted
Full Banks	The entire range of banking business approved under the Banking Act. Singapore Full Banks face n
Wholesale Banks	The range of services offered by Full Banks **except Singapore-dollar retail banking**. They oper
Merchant Banks	Approved under the MAS Act and governed by the Merchant Bank Directives. Typical activities ar

1.4.3 Registration and Licenses Stipulated by the MAS on Regulated Activities

1.4.3.1 Registration of Dealers and IDBs by the MAS MAS maintains a **register of FX and Money Market Dealers**. Banks and Merchant Banks must provide the personal particulars of their FX and Money Market Dealers to MAS under the **MAS Notice on Appointment and Register of IDBs (MAS 911)**.

1.4.3.2 Primary Dealers in Singapore Government Securities A bank must apply to MAS to be a **"Primary Dealer"** under the **Government Securities Act** in order to carry on the business of:

- **i.** applying to MAS for the **primary purchase of SGS** on behalf of another person during a public invitation under section 30 of the Act;
- **ii.** offering to **redeem SGS** on behalf of another person under a public invitation under section 24A or otherwise; and/or
- **iii.** playing the role of **specialist intermediary** in the SGS and SGD money markets.

A Primary Dealer must also comply with the Government Securities Act and subsidiary legislation, the **Notice on Obligations of Primary Dealers (MAS 761)**, the **Rules and Market Practices of the SGS Market**, and the **SGS Repo Code of Best Practice**.

1.4.4 Capital Markets Services Licences

Banks and Merchant Banks may carry out any regulated activity under the SFA without being separately licensed as a CMS Licence holder, but they and their representatives must still comply with the SFA's business-conduct requirements for those activities.

Otherwise, a CMS Licence holder is a Market Participant authorised to carry out capital-market services. Subject to exceptions, a CMS Licence holder **may not use the word "Bank"** or any derivative in any language, or any word indicating that it transacts banking business in its name or the description or title under which it transacts business.

A CMS Licence holder may apply to carry on any or all of the following regulated activities:

- **i.** dealing in securities;
- **ii.** trading in futures contracts;
- **iii.** leveraged foreign exchange trading;
- **iv.** advising on corporate finance;
- **v.** fund management;
- **vi.** real estate investment trust management;
- **vii.** securities financing; and
- **viii.** providing custodial services for securities.

Professionals carrying on any of these activities for a CMS Licence holder must be appointed as **Representatives** for the relevant regulated activity.

A CMS licence to deal in securities permits dealing in **Singapore Government Securities and bonds**. A licence for leveraged FX trading permits FX transactions entered into on a **margin basis**. Such holders must also comply with the **Blue Book**.

1.5 Professional Bodies in Singapore

1.5.1 The Singapore Foreign Exchange Market Committee

SFEMC was set up to foster the growth of Singapore as a leading international centre for FX, fixed-income and derivatives instruments. Its objectives are to:

- **i.** foster the growth and development of the treasury market in Singapore;
- **ii.** enhance the stature and reputation of Singapore markets by promoting high standards of professional conduct and competence;

- **iii.** discuss technical issues and recommend standards and codes, including responsibility for **issuing and updating the Blue Book**;
- **iv.** serve as a channel of communication among Market Participants and MAS; and
- **v. mediate disputes** among Market Participants who agree to mediation.

It works closely with industry associations including the **ABS**, the **Singapore IDBs Association** and **ACI Singapore**.

1.5.2 Codes of Conduct and Guidance on Best Market Practices

Two codes apply in parallel. The **Blue Book** — "The Singapore Guide to Conduct & Market Practices for the Wholesale Financial Markets", issued by SFEMC — and the **FX Global Code**.

SFEMC has endorsed the **FX Global Code**, a set of global principles of good practice for the FX market, providing common guidelines to promote the integrity and effective functioning of the wholesale FX market. It aims at a **robust, fair, liquid, open and appropriately transparent** market in which diverse participants, supported by resilient infrastructure, transact confidently at competitive prices reflecting available market information and acceptable standards of behaviour.

The Blue Book applies in parallel with the FX Global Code. The **Global Code applies only to FX**, whereas the Blue Book applies to FX, other asset classes and the setting of financial benchmarks. Together they foster high standards of conduct and good market practice, equitable and healthy relationships between participants, and market efficiency.

1.5.3 ACI — The Financial Markets Association

ACI is a leading global association of wholesale financial-market professionals. It promotes members' professional development, facilitates communication and collaboration, and maintains the highest standards of market conduct and industry best practice through the **ACI Model Code**.

ACI Singapore is affiliated to ACI and has Standing Committee Members elected to both the **ACI Committee for Professionalism**, which administers the Model Code of Conduct, and the **ACI Board of Education**. ACI Singapore and **Singapore Management University** have developed a Financial Markets training roadmap for treasury professionals across front, middle and back office, and ACI Singapore runs regular seminars covering market developments, new products and networking. These underpin its commitment to continuing education.

1.5.4 The Association of Banks in Singapore

ABS is formed by all licensed banks in Singapore to represent and promote members' interests. It sets standards of good practice and raises industry expertise through niche seminars and workshops. It participates in regular dialogue and consultation with **MAS** on industry issues and on promoting a sound financial system, and is a pivotal channel for feedback on legislation and guidelines. It also liaises with other non-government institutions and trade associations.

1.5.5 The Institute of Banking and Finance

IBF is an industry association fostering professional competencies in the financial sector, representing close to **200 member financial institutions** covering banks, insurers, securities brokerages and asset managers. Working with the industry and training providers, it supports growth of the Asian financial industry and promotes an Asian standard of excellence.

IBF is the **national accreditation and certification agency** for financial-industry competency under the **IBF Standards** — competency standards developed by the industry for the industry. The Standards provide a practice-oriented development roadmap and a comprehensive suite of accredited training and assessment programmes, guiding a practitioner from licensing examinations through to professional certification.

Body	Role
SFEMC	Develops and maintains the Blue Book, addresses market-practice issues, can coordinate the m
ACI / ACI Singapore	Professional standards and education; administers the ACI Model Code
ABS	Represents banks; publishes industry guidance including rate-setting benchmark material
IBF	Competency standards, accreditation and continuing professional development

Exam cues

- **Check authority activity by activity:** the correct question is whether the *person and institution* may do *this* service for *this* product — not whether the firm is generally a financial institution.
- **Blue Book scope:** wholesale FX, NDFs, money-market instruments, debt securities, SGS and OTC derivatives — **not** equity-market conduct generally.
- **Banks versus CMS holders:** Banks and Merchant Banks need **no separate CMS licence** for SFA regulated activities, but must still meet its conduct requirements. A CMS Licence holder **may not use the word "Bank"** in its name or business description.
- **IDBs** cannot act as principal or take positions in the FX and money markets; they need **money-broker approval under the MAS Act**.
- **Finance companies** may not offer deposit accounts repayable on demand by cheque, draft or order, but may take term deposits.
- **Branch limits:** Singapore Full Banks face no branch restriction; **foreign** Full Banks generally get a single branch, except **QFBs**.
- **Primary Dealers** are made under the **Government Securities Act** and must also meet **MAS 761**, the SGS market rules and the SGS Repo Code.
- **Professional bodies** — SFEMC, ACI, ABS, IBF — supplement but never displace legislation or MAS rules. The **FX Global Code applies only to FX**; the Blue Book spans FX, other asset classes and benchmarks.
- **Trap:** holding a banking licence does not authorise every capital-markets activity, and a CMS licence does not authorise banking business.

Ethics, Behavioural Standards and Professional Conduct

This chapter treats personal conduct as part of market infrastructure. The central exam habit is to identify the conflict or customer risk, apply the control, disclose or escalate, and preserve evidence.

2.1 Introduction

Ethics is a control system as well as a personal value. A technically correct trade can still be unacceptable if it involves deception, undisclosed conflict, misuse of information, unfair customer treatment or a failure to escalate concerns.

2.2 Fit and Proper Guidelines and Disclosure Requirements

Fit-and-proper assessment covers honesty, integrity, reputation, competence, capability and financial soundness. Representatives and institutions must disclose material changes and maintain evidence supporting their continuing suitability.

2.2.1 Honesty, Integrity, Reputation

Past misconduct, dishonesty, regulatory breaches, criminal conduct or misleading disclosures can affect fitness. The assessment considers seriousness, relevance, recency, repetition, remediation and the person's candour.

2.2.2 Competency and Capability

A representative must have the knowledge, skills, experience, supervision and resources needed for the activity. Passing an examination alone does not justify dealing beyond one's competence or authority.

2.2.3 Financial Soundness

Financial distress, insolvency, unmanaged debt or conflicts created by personal financial pressure can impair judgement and increase conduct risk. Relevant information must be disclosed and assessed under the applicable guidelines.

2.2.4 Change of Particulars and Additional Regulated Activity

Changes in personal particulars, employment, role, responsibility or regulated activity must be reported through the prescribed process. A person should not begin a new regulated activity before the required approval, notification, training or licensing step is complete.

2.3 Conflicts of Interest and Ethical Standards

Conflicts must be identified, avoided where possible, controlled and disclosed where necessary. The client's or market's interest cannot be subordinated to a representative's compensation, relationship, personal position or convenience.

2.3.1 Acting for Only One Principal

A representative should act for the principal for whom he or she is authorised and must not secretly serve competing principals or use one principal's confidential information for another. Dual roles require explicit authorisation and controls.

2.3.2 Personal Relationships

Family, friendship and other close relationships can create actual or perceived conflicts. The proper response is disclosure, recusal, reassignment or another documented control, not informal concealment.

2.3.3 Entertainment, Gifts and Favours

Gifts, hospitality and favours must be reasonable, transparent, permitted by policy and incapable of influencing business judgement. Excessive or secret benefits can be inducements or corruption risks.

2.3.4 Personal Dealing

Personal trades require compliance with dealing restrictions, pre-clearance where required, disclosure of accounts and protection of customer orders. Representatives must not trade ahead of customers, misuse information or create a conflict with their professional role.

2.3.5 Disclosure of Interests

A representative should disclose relevant ownership, financial interests, relationships and other conflicts so the firm can assess and manage them. Disclosure is not a licence to proceed without controls.

2.3.6 Bets and Gambling

Gambling and betting can impair judgement, create financial pressure or undermine confidence in a representative. Policies and fit-and-proper standards may require restrictions, disclosure or escalation.

2.3.7 Promotion of Ethical Practices, Values and Conduct

Management should set a tone of integrity, train staff, reward sound conduct, monitor behaviour and make escalation safe. Ethical culture is evidenced by decisions and controls, not by a policy statement alone.

2.4 Professional Knowledge

Professional knowledge includes products, conventions, laws, codes, risk, systems and the limits of one's authority. Ongoing learning is necessary because market conventions, technology and regulation change.

2.5 Dealings with Customers

Customer dealings must be fair, clear, timely and consistent with the agreed mandate. Representatives should explain material risks, disclose principal capacity, safeguard customer money and assets and avoid misleading omissions.

2.5.1 Risk Disclosure

Required risk disclosures should be provided before the relevant activity, in a form the customer can understand. A risk disclosure is not effective if it is hidden, inaccurate or contradicted by the representative's explanation.

2.5.2 Managed Account Disclosures

Managed-account customers need clear information about the mandate, discretion, fees, risks, valuation and reporting. The representative must operate within the mandate and disclose material changes or conflicts.

2.5.3 Dealing as Principal

When a market participant deals as principal, it is the customer's counterparty rather than merely an agent. The capacity, price basis, conflicts and relevant terms should be made clear before the trade.

2.5.4 Customer Money and Assets

Customer money and assets must be held, recorded and used only as permitted. They cannot be diverted for the firm's convenience or another customer's benefit, and reconciliations and segregation controls are essential.

2.6 Reporting of Misconduct

Suspected misconduct should be recorded, escalated through approved channels and reported to MAS where the applicable notice requires a report. Staff should not investigate in a way that compromises evidence or alert a subject improperly.

Exam cues

- **Fit-and-proper test:** honesty, integrity and reputation; competence and capability; financial soundness. Consider seriousness, relevance, recency, repetition and candour.
- **Conflicts:** identify → avoid → control → disclose; never serve competing principals, use one principal's information for another, or act on undisclosed personal interests.
- **Customer dealings:** explain material risks **before** the activity, in a form the customer understands; disclose when dealing as **principal** (the customer's counterparty) versus agent.
- **Customer money and assets:** hold, record and use only as permitted; segregation and reconciliation are essential.
- **Reporting misconduct:** escalate through approved channels and report to MAS where a notice requires it.
- **Trap:** a risk disclosure hidden, inaccurate or contradicted by the representative's explanation is not effective.

Confidentiality and Information Sharing

Distinguishing useful market colour from protected information. The examination tests what is confidential, when disclosure is allowed and what must never be used as colour.

3.1 Introduction

Confidentiality protects customers, counterparties, the firm and the integrity of price formation. The relevant question is not simply whether information is interesting, but whether it identifies a party, order, position, strategy or protected business fact.

3.2 Identify and Limit Access to Confidential Information

Firms should classify confidential information, limit access on a need-to-know basis, maintain information barriers and protect physical and electronic records. Anonymity can be lost through seemingly harmless combinations of facts.

3.2.1 Identify Confidential Information

3.2.1.1 Trading Information

Trading information is the most sensitive category. It covers what a customer is doing or planning: the fact of an order, its size and direction, the level sought, the timing, and the identity of the party. Related information produced by the participant — for example, that a customer has taken a large position and is

now seeking a particular hedge — is equally protected, because it reveals the customer's exposure even where the original instruction was never disclosed.

A representative must not use trading information for their own account, for another customer, or as market colour. The order book is confidential in full, not only the name attached to it.

3.2.1.2 Designated Confidential Information

Designated confidential information is information the firm has expressly classified as confidential — pricing matrices, valuation models, fee arrangements, client lists, strategy and business plans, and internal assessments of counterparties. Designation puts staff on notice and triggers the access and handling controls in 3.2.2.

Designation is not the only source of the duty: information can be confidential by its nature even if no one has labelled it. Both the express designation and the inherent character of the information must be considered.

3.2.2 Limit Access and Protect Confidential Information

Access should be role-based, monitored and removed when no longer needed. Encryption, secure channels, clean-desk practices, access reviews and controlled information barriers reduce accidental or deliberate disclosure.

3.3 Disclosure of Confidential Information

Disclosure requires a legal, regulatory, contractual or legitimate business basis. A representative should disclose only what is necessary, to the right recipient, through an approved channel and with appropriate records.

3.3.1 Allowable Disclosures

Allowable disclosures may include those required by law, regulators, courts, law-enforcement processes or a permitted business purpose. A request from another market participant is not, by itself, authority to disclose.

3.3.2 Prudence before Disclosure

Before disclosing, confirm the recipient, authority, scope and sensitivity. When uncertain, pause and consult compliance or legal; do not invent a misleading answer merely to avoid giving the information.

3.4 Communication Practices

Market communication must be clear, accurate, professional and not misleading. Records should allow the firm to reconstruct what was said, to whom, when, through which channel and with what authority.

3.4.1 Clear, Accurate, Professional, Not Misleading

A representative must not make false statements, create a misleading impression, hide a material qualification or present opinion as fact. Partial execution and uncertainty should be explained accurately without revealing protected information.

3.4.2 Market Colour Appropriately

Market colour can describe general liquidity, flow, direction, volatility or execution conditions **without** identifying a customer or a specific order. Customer names, exact amounts and traceable order details must not be used as colour.

3.4.3 Approved Communication Modes/Channels

Use approved recorded channels and systems for dealing and material instructions. Personal messaging, unapproved devices and informal channels create evidential, surveillance and confidentiality risk.

3.4.3.1 Electronic Trading System Logs Electronic trading platforms generate a contemporaneous log of quotes, orders, executions, timestamps, user identity and system events. Those logs are the firm's record of what happened and must be preserved, protected from alteration, and available to compliance and to MAS. A participant must not exploit a platform's status messages, nor trade on an obvious technical error.

3.4.3.2 Telephone Recordings Where dealing is conducted by telephone, the line must be a **recorded** line and the counterparty should be told. Recordings must be retained under the firm's policy and applicable law, protected against deletion, and retrievable for reconstruction of a trade, a complaint or an investigation. Using a mobile phone or an unrecorded line to conduct or vary a deal defeats this control and is treated as a serious breach rather than a technicality.

3.5 Training

Training should cover confidentiality, anonymity, communication, escalation and practical scenarios. It should be refreshed and evidenced, with heightened training for staff who access sensitive information.

Exam cues

- **The answer is rarely "say nothing" or "tell everyone":** it is a precise, **minimum-necessary and authorised** communication.
- **Allowable disclosures:** law, regulators, courts, law enforcement or a permitted business purpose. A peer's request is not authority.
- **Market colour** describes general conditions without identifying a customer or order — no names, exact amounts or traceable details.
- **Channels:** use approved, recorded platforms; personal messaging creates evidential and surveillance risk.
- **Trap:** a misleading answer invented to avoid disclosing information is itself a breach — pause and consult compliance instead.

Governance, Risk Management and Compliance

Institutional controls: governance and accountability, risk frameworks, key risk types and AML/KYC. The examination tests who is accountable, how limits and models are controlled, and the AML obligations.

4.1 Governance Structure

Governance assigns accountability, authority and challenge across the board, senior management, front office, risk, compliance, operations and audit. Controls are stronger when responsibilities and escalation paths are explicit.

4.2 Remuneration Structure

Pay structures should not reward volume or short-term profit in a way that encourages misconduct, hidden risk or customer harm. Deferrals, malus, clawback and balanced performance measures can align incentives with sound conduct.

4.3 Reporting Misconduct/Inappropriate Behaviour

Firms need confidential reporting, investigation and escalation routes. Retaliation should not deter good-faith reporting, and records should preserve facts and decisions.

4.4 Segregation of Duties

Front, middle and back office roles should be separated by responsibilities, information barriers and system permissions. Separation does not mean no communication; it means communication is controlled and no one person can originate, process and conceal a transaction.

4.5 Overview Risk Management and Compliance

Risk management identifies, measures, limits, monitors and reports risk. Compliance interprets obligations, tests adherence, advises the business and escalates breaches. Both functions need independence, resources and access to information.

4.6 Risk Management Frameworks

A framework links risk appetite to limits, controls, monitoring, validation, escalation and remediation. It should cover normal and stressed conditions and be understood by the people who make and control trades.

4.6.1 Approval of Risk Limits

Limits should be approved by the appropriate authority, documented, assigned to a person or desk and reviewed when the business or risk profile changes. Informal limit increases are not a substitute for approval.

4.6.2 Implementation of Risk Measures

Risk measures may include notional, sensitivity, stop-loss, stress, liquidity, counterparty and concentration measures. They must be implemented in systems and procedures that are complete, timely and resistant to override.

4.6.3 Monitoring Risk Activity

Monitoring compares current activity with limits, exposures, P&L, exceptions and stress results. Breaches should be escalated promptly, investigated and resolved, rather than normalised through repeated overrides.

4.6.4 Periodic Validation of Valuation Models

Valuation models need independent validation, documentation, testing, input governance and periodic review. Changes in products, markets or assumptions can make a previously reliable model unsuitable.

4.7 Framework for Compliance and Review

Compliance frameworks translate laws, notices and codes into policies, controls, training, surveillance, testing, issue management and reporting. Reviews should be risk-based and tracked to closure.

4.8 Ensuring Adherence

Adherence is demonstrated through supervision, monitoring, exception reports, attestations, reconciliations, training and disciplinary action where necessary. A policy without evidence of operation is a weak control.

4.9 Key Risk Types

Market, credit/counterparty and operational risks interact. A position can be profitable while creating settlement, liquidity, conduct or model risk, so risk assessment must not focus on price movement alone.

4.9.1 Market Risk

Market risk is the risk of loss from adverse movements in rates, prices, spreads, volatility or correlations. It is managed with limits, hedging, valuation, stress testing and timely escalation.

4.9.2 Credit/Counterparty Risk

Counterparty risk is the risk that the other party fails to perform. Limits, netting, collateral, margin, settlement controls, credit review and close-out rights reduce exposure.

4.9.3 Operational Risk

Operational risk arises from failed or inadequate people, processes, systems or external events. Examples include erroneous trades, weak access controls, processing failures, fraud and business interruption.

4.10 AML/KYC

AML/KYC controls identify customers, beneficial owners, purpose, source of funds and unusual activity. They are ongoing controls, not a one-time account-opening formality.

4.10.1 AML

AML programs use risk-based customer due diligence, screening, transaction monitoring, suspicious-transaction escalation, record retention and staff training. Tipping off a customer about a report can itself be prohibited.

4.10.2 Regulatory Framework of Financial Crimes

The framework includes Singapore statutes and MAS notices addressing laundering, terrorism financing, confiscation, mutual assistance and related financial crime. The firm must apply the current rule to the relevant institution and activity.

4.10.3 Customer Onboarding

Onboarding verifies identity, authority, beneficial ownership, risk rating, purpose and expected activity **before** access is granted. Missing or inconsistent information should be resolved or escalated — never ignored to meet a sales target.

Exam cues

- **Three lines:** front office (1st), risk/compliance (2nd), independent audit (3rd); the board and senior management retain accountability.
- **Risk framework:** approved limits → implemented measures → monitoring → independent model validation → remediation.
- **Three key risks:** market (adverse moves), credit/counterparty (failure to perform), operational (people, processes, systems, events).
- **Remuneration:** deferrals, malus and clawback counter misconduct incentives.
- **AML/KYC is ongoing**, not a one-time formality; tipping off is itself prohibited.
- **Trap:** a breach normalised through repeated overrides is still a breach.

Execution and Handling of Orders

The largest market-practice chapter. Learn the general dealing principles first, then apply them to misconduct, FX, NDF, money-market, debt-security and SGS conventions. The examination tests the conventions and the misconduct prohibitions.

5.1 General Dealing Principles and Market Conduct

Execution requires fair dealing, accurate quotes, clear authority, reliable records and disciplined handling of orders. A representative must know whether a communication is indicative or firm and must honour commitments within the applicable convention.

5.1.1 Rates and Quotes

A quote should identify the relevant product, side, amount, tenor, value date and conditions when those features affect price. Quotes must not be misleading, and a dealer should clarify ambiguity before treating a response as a deal.

5.1.2 Dealing Amounts

Marketable amounts and minimum dealing sizes are conventions, not permission to mislead. A dealer should state the amount available, respect limits and promptly correct a genuine error through the approved process.

5.1.3 Discovering Names from IDBs

An IDB may preserve anonymity during price discovery, but a name is disclosed at the appropriate point under market convention and credit controls. A dealer must not use a name to bypass limits or disclose it improperly.

5.1.4 Direct Dealing

Direct dealing requires clear identification of the parties, authority, terms and capacity. Both sides should understand whether the quote is firm, the trade is done and which settlement instructions apply.

5.1.5 Electronic Trade Conventions

Electronic platforms have specific rules for quote validity, deal acceptance, timestamps, error handling and confirmations. Users must understand the system's status messages and must not exploit an obvious technical error.

5.1.6 Handling Customer Orders

Customer orders should be time-stamped, prioritised and executed fairly within the mandate. Front running, withholding, selective disclosure, unjustified aggregation and misleading partial fills are prohibited or highly risky.

5.2 Market Misconduct

Market misconduct includes using inside information, manipulating price or volume, misleading other participants, misusing customer orders and creating artificial transactions. Intent, knowledge, effect and surrounding conduct all matter.

5.2.1 Insider Trading

Insider trading involves trading or communicating while in possession of material non-public information in breach of duty or law. Confidential customer and issuer information must be controlled and escalated.

5.2.2 Front Running

Front running is trading or arranging a trade ahead of a known customer order to benefit from the expected price effect. Customer order information must not be used for the representative's or another customer's advantage.

5.2.3 Withholding Orders

An order should not be withheld to improve a dealer's position, favour another customer or manipulate price. Any delay must have a legitimate, documented reason consistent with the mandate and market rules.

5.2.4 Disclosure of Customer Orders

A customer order is confidential. It may be disclosed only under a permitted basis and only to the extent necessary for execution, risk management, settlement, legal obligation or another legitimate control purpose.

5.2.5 Bucketing

Bucketing occurs when an intermediary takes the opposite side or otherwise handles a customer order without executing it as represented, often concealing whether the order reached the market. Accurate capacity and execution records are essential.

5.2.6 Price Manipulation/Cornering

Manipulation and cornering create an artificial price or control supply to force others to transact at distorted levels. Genuine competitive trades are different from a plan to create a false market.

5.2.7 False Trading

False trading creates or maintains an appearance of active trading or price movement without genuine economic purpose. Wash trades, matched orders and sham transactions can be evidence of this conduct.

5.2.8 Fraudulently Inducing Persons to Trade

A person must not use false statements, deceptive promises or material omissions to induce another participant to trade. Market commentary should be accurate, balanced and clearly identified as opinion where appropriate.

5.2.9 Fraudulent/Deceptive Devices

Devices or schemes that deceive, manipulate or circumvent market rules are prohibited even if they do not fit a single named example. A dealer should escalate unusual strategies designed to create a false impression.

5.2.10 Dissemination of Illegal Transaction Information

Information about an illegal or prohibited transaction must not be disseminated to encourage, conceal or repeat the conduct. Escalation and preservation of evidence are the appropriate responses.

5.2.11 Points and Positions Parking

Parking points or positions can conceal risk, shift P&L or misstate a firm's true exposure. Temporary transfers still require genuine economic purpose, authority, documentation and risk assessment.

5.3 Risk Controls and Audit

Execution controls include deal checks, confirmations, out-trade handling, complaints, arbitration and disciplined error cancellation. Controls should be contemporaneous and independently checkable.

5.3.1 Intraday Deal Checks/Confirmations

Intraday checks compare the dealer's records with counterparties and systems while errors can still be corrected. A confirmation is a control, not merely an administrative document.

5.3.2 Articulation of Deal Confirmations

Confirmations should state the complete economic terms, parties, capacity, value dates, settlement details, fees and any special conditions. Ambiguity should be resolved promptly through an approved channel.

5.3.3 Out-trades

An out-trade is a mismatch between the parties' records or trade terms. It should be escalated and reconciled promptly without silently changing records or allowing settlement to proceed on an unverified basis.

5.3.4 Complaints

Complaints should be acknowledged, recorded, investigated independently where appropriate and resolved under the firm's process. A representative must not discourage a customer from complaining or alter evidence.

5.3.5 Arbitration

Where a market convention or contract provides arbitration, the parties should follow the agreed procedure, preserve evidence and respect the decision. Arbitration is not a reason to bypass routine confirmation and escalation.

5.3.6 Cancellations/Error Trades

Cancellation is not automatic simply because a price moved or a party regrets a trade. Genuine errors should be handled under the applicable convention, with both parties' agreement where required and full records.

5.4 FX Dealing

FX dealing uses conventions for trading hours, value dates, swaps, options, disruptions and rate setting. The dealer must know currency-pair conventions and state non-standard terms explicitly.

5.4.1 Trading Hours

The wholesale FX week generally opens at 0500 Sydney time on Monday and runs until 1700 New York time on Friday, subject to conventions and holidays. Local desk hours are not the same as the global market convention.

5.4.2 Value Dates

Spot, tomorrow-next and forward value dates depend on currency calendars and business-day conventions. A dealer must check both currencies and communicate any non-standard date.

5.4.3 Disruptions/Unforeseen Holidays

An unforeseen holiday or payment-system disruption can prevent normal value or settlement. Parties should communicate, follow agreed or recommended procedures and avoid unilateral changes that create avoidable risk.

5.4.4 FX Swap Dealing

An FX swap exchanges currencies on a near leg and reverses the exchange on a far leg. The near-leg spot rate, swap points, value dates and counterparties should be agreed and recorded clearly.

5.4.5 FX Swap Rate Setting

Swap pricing should reflect the agreed spot rate, market swap points, value dates and the convention for setting the far-leg rate. The price maker should not manipulate or delay rate setting after the deal is done.

5.4.6 Off-Market Rollovers

An off-market rollover changes a position at a rate not representative of the market and requires a legitimate reason, transparency, approval and appropriate documentation. It must not conceal a loss or transfer value unfairly.

5.4.7 Currency Options

Currency options create asymmetric rights and obligations and may include premium, strike, expiry, exercise and settlement conventions. The customer should understand the risk and the dealer must document the agreed terms.

5.5 NDF

NDFs are cash-settled forward contracts in a non-deliverable currency. Fixing sources, quotation direction, fixing date, maturity and settlement amount must be unambiguous.

5.5.1 NDF Trading Hours

NDF dealing follows the relevant market's conventions and fixing window. A dealer should confirm whether the market is open, the quotation convention and the time used for the fixing.

5.5.2 NDF Disruptions

If the fixing source or market is disrupted, the contract's fallback or disruption provisions apply. Parties should document the event, communicate promptly and avoid inventing a fixing unilaterally.

5.5.3 Quoting Conventions

NDF quotes must state the currency pair, direction, rate units, notional currency, tenor and whether the quote is firm or indicative. A quote that reverses the convention can create a material error.

5.5.4 Fixing/Maturity Dates

The fixing date determines the reference rate used to calculate the cash difference, while maturity or settlement follows the contract convention. They should not be treated as interchangeable dates.

5.5.5 Settlement/Fixing

NDF settlement is normally the net cash difference between the contracted rate and fixing rate, converted and paid according to the agreed convention. The dealer must check sign, currency and payment date.

5.6 Money Market

Money-market dealing depends on precise value date, tenor, day-count, rate basis, amount and settlement conventions. Small ambiguities can change interest or principal materially.

5.6.1 Value Dates

Quotes should state or make clear the standard value date, maturity, tenor and marketable amount. Counterparties should confirm the precise settlement dates to avoid different interpretations.

5.6.2 Interest Rate Options

Interest-rate option conventions should state whether a delta hedge is assumed, how premium and settlement work and what underlying rate or instrument applies. Non-standard assumptions must be explicitly agreed.

5.7 Debt Securities

Debt-securities dealing requires clarity on settlement, clean or dirty price, accrued interest, coupon periods, value dates, holidays and clearing platform. A price cannot be understood without its quotation convention.

5.7.1 Value Dates/Settlement/Holiday

Settlement dates follow the relevant market calendar and holiday rules. A holiday affecting the currency, security or settlement platform can change the due date and should be identified before execution.

5.7.2 Price Quotations

Debt-security prices should state the quote basis, units and whether accrued interest is included. The buyer and seller must be able to calculate the same consideration from the quote.

5.7.3 Interest Accrual

Accrued interest compensates the seller for coupon earned since the last coupon date. It depends on the day-count convention, dates and coupon terms and should be included or excluded consistently.

5.7.4 Coupon Period

Coupon periods determine payment dates and accrual. Irregular first or last periods, ex-coupon periods and business-day adjustments require attention to the security terms.

5.7.5 Clearing/Settlement Platform

The agreed clearing and settlement platform affects instructions, cut-offs, eligibility and finality. The correct platform and account details should be captured in the confirmation.

5.8 SGS

Singapore Government Securities dealing follows MAS rules, SGS market practices, quotation and lot conventions, trading hours and securities-lending arrangements. Compliance is required even where the trade is between sophisticated institutions.

5.8.1 Compliance Rules

Dealers must follow applicable MAS requirements and market-conduct standards when dealing in SGS. A government security is not exempt from controls on misleading dealing, settlement or records.

5.8.2 Guidelines/Directives

The SGS rules and market-practice guide set operational conventions and expectations. Dealers should use the current version and escalate conflicts between a local practice and a binding directive.

5.8.3 Trading Hours

SGS trading hours and cut-offs affect quote validity, confirmation and settlement. A dealer should not assume that FX or money-market hours apply to SGS.

5.8.4 Price Quotations

SGS price quotations must follow the market convention, including price or yield basis, tick size and any accrued-interest treatment. The quote should be sufficiently clear to avoid a calculation dispute.

5.8.5 Market Lot Transactions

Market-lot and odd-lot conventions determine whether an order is within the standard dealing size and how it may be executed. The dealer should state any non-standard amount and obtain agreement.

5.8.6 Securities Borrowing/Lending

Securities borrowing and lending transfers securities against collateral under agreed terms. It must be documented, authorised and controlled for counterparty, collateral, settlement and recall risk.

5.9 Restrictions against Lending SGD

MAS notices restrict certain SGD lending to non-resident market participants. Dealers must identify the borrower, transaction structure and exemptions before arranging an SGD loan or an FX swap that has the same economic effect.

5.10 Specific Execution Requirements

IDBs, prime brokers and electronic-platform providers create distinct execution and control responsibilities. The firm should understand each intermediary's role, authority, records and risk limits.

5.10.1 IDBs

An IDB should relay special conditions accurately, preserve the sequence and integrity of quotes, disclose names at the proper point and avoid proprietary dealing. The principal remains responsible for its own authority and limits.

5.10.2 Prime Brokers

Prime-broker arrangements centralise execution, clearing or settlement while allocating obligations among the client, executing dealer and prime broker. Authority, give-up, margin, limits and default provisions must be clear.

5.10.3 E-Trading Platform Providers

Platform providers need controls for access, capacity, cyber risk, timestamp integrity, order handling, outages, error trades and audit trails. Users must understand the platform rules before relying on automated execution.

Exam cues

- **Misconduct list:** insider trading, front running, withholding orders, disclosing customer orders, bucketing, price manipulation/cornering, false trading, fraudulent inducement, deceptive devices, illegal-transaction information and points/positions parking.
- **FX week:** opens **0500 Sydney** Monday, closes **1700 New York** Friday. Value dates depend on **both** currencies' calendars.
- **FX swaps:** near leg plus far leg; the far-leg rate follows the agreed spot and market swap points. **Off-market rollovers** must have a legitimate reason, transparency and approval.
- **NDF:** cash-settled on the difference between contracted rate and fixing rate; state currency pair, direction, units, notional currency, tenor and firm/indicative status. Fixing date maturity date.
- **Debt securities:** a price is meaningless without its basis — clean or dirty, accrued interest, day-count and settlement date.
- **SGS:** its own MAS rules, market-practice guide, trading hours and lot conventions — do not assume FX or money-market hours apply.
- **SGD lending restriction:** identify the borrower, structure and exemptions before arranging an SGD loan or an economically equivalent FX swap.
- **Trap:** a genuine error is corrected through the approved process and both parties' agreement — cancellation is not automatic because a price moved.

Confirmation and Settlement

Controls over the trade after execution. Good confirmation and settlement reduce ambiguity, operational error, liquidity pressure, fraud and counterparty exposure. The examination tests the controls and the key data.

6.1 Confirmation and Settlement Systems/Frameworks

Systems should support timely, accurate confirmation and settlement through the full transaction lifecycle. Capacity, straight-through processing and data integrity are control objectives, not merely technology preferences.

6.1.1 Processing Capacity

Capacity should handle normal and peak volumes, including market disruption. Capacity planning, testing, monitoring and contingency arrangements reduce operational and settlement risk.

6.1.2 STP

Straight-through processing passes accurate data from trade capture to confirmation, settlement and accounting with minimal manual re-entry. Exceptions still require controlled human review.

6.1.3 Data Integrity

Trade data should be complete, accurate, consistent, authorised and protected from unauthorised change. Reconciliations, validation and audit trails help detect corruption or processing errors.

6.2 Confirmation Procedures

Confirmations should be generated as soon as practicable, independently checked where appropriate and matched against the counterparty. The procedure should address block trades, discrepancies and product-specific data.

6.2.1 Segregated Functions

The person who executes a trade should not have unrestricted control over confirmation, settlement and reconciliation. Segregation reduces the ability to hide errors or fraud.

6.2.2 As Soon As Practicable

Timely confirmation reduces uncertainty and allows errors to be corrected before value date. The appropriate timing depends on product and convention, but avoidable delay is a control weakness.

6.2.3 Key Confirmation Data

Key data includes parties, capacity, product, amount, price or rate, trade and value dates, settlement currency, payment instructions, fees, netting and special terms. Missing data can change the economics.

6.2.4 Single Party

Where a single party is responsible for producing a confirmation or matching record, the process should still include independent controls, counterparty communication and exception monitoring.

6.2.5 Auto-Generated

Auto-generated confirmations can improve speed and reduce re-keying, but only if source data, templates, access rights, change controls and exception handling are reliable.

6.2.6 Block Transactions

Block trades need an allocation process that preserves the economics, identifies each beneficiary and controls the timing and accuracy of confirmations. Unallocated blocks should not be allowed to obscure exposure.

6.2.7 Discrepancy Resolution

A mismatch should be investigated, documented and resolved by authorised staff. The firm should not silently amend records or let an unresolved discrepancy pass through settlement.

6.2.8 Product-Specific

Confirmation content must reflect the product: options need exercise and premium terms, swaps need both legs, NDFs need fixing provisions, and securities need price and accrued-interest conventions.

6.3 Settlement Procedures

Settlement procedures reduce principal, liquidity, operational and counterparty risk through reliable instructions, controls, netting, payment authorisation and monitoring.

6.3.1 Mitigating Settlement Risk

Use delivery-versus-payment where available, valid standing instructions, cut-off monitoring, segregation, confirmation matching and escalation of late or failed payments.

6.3.2 Netting

Netting reduces the number and value of payments when legally and operationally available. The firm must confirm enforceability, scope, currency, cut-off and the parties covered by the netting arrangement.

6.3.3 Direct Payments

Payments should normally go to the counterparty or its approved account. A third-party payment requires a valid, documented reason, appropriate approval and controls against fraud and money laundering.

6.4 Standing Settlement Instructions

SSIs should be verified, authorised, changed through controlled procedures and independently checked. A last-minute instruction change is a common fraud risk and must not be accepted casually.

6.5 Nostro Balance Requirements

Nostro accounts must have sufficient balances and monitoring to make expected payments. Forecasts, intraday liquidity, cut-offs and escalation for shortfalls protect settlement performance.

6.5.1 SGD Payments

SGD payments require attention to local settlement systems, MAS or market cut-offs, payment instructions and contingency procedures. A disruption should be managed with the agreed market process.

6.6 Account Reconciliation

Reconcile nostro, custody, trading and accounting records promptly. Breaks should be aged, investigated, assigned and escalated; a reconciliation that is only performed after a loss is not an effective control.

6.7 Late-Payment Penalties

Late-payment terms and penalties should be clear in the trade or governing agreement. The firm should calculate, communicate and settle them accurately, while escalating repeated failures.

Exam cues

- **Control objectives:** timely, accurate confirmation and settlement — capacity, straight-through processing and data integrity.
- **Segregation:** the person who executes must **not** control confirmation, settlement and reconciliation.
- **Key confirmation data:** parties, capacity, product, amount, price/rate, trade and value dates, settlement currency, payment instructions, fees, netting and special terms.
- **Standing Settlement Instructions:** verify, authorise and independently check; a **last-minute instruction change is a common fraud risk**.
- **Settlement controls:** delivery-versus-payment, netting (only where legally enforceable), payments to the counterparty's approved account, nostro-balance monitoring, prompt reconciliation and aged-break escalation.
- **Trap:** an unresolved discrepancy must never pass silently through settlement.

Handling Market Disruptions

Learning objectives. The candidate should be able to:

- identify what constitutes a market disruption;
- recognise the impact of such disruptions;
- discuss the alternative communication channels and procedures for managing trading activity during such disruptions;
- recognise the SFEMC's roles during market disruptions;
- describe the rules of the central clearing party during market disruptions.

7.1 Introduction

Market activities can be disrupted by unforeseen events from time to time. In such circumstances **both trading and settlement operations will be adversely affected**, impacting the **entire market or a significant portion of the trading population**.

Each disruption event **bears its own characteristics** — a natural catastrophe, government actions, civil disorders and so on. It is therefore **not possible to predict** the manner in which market participants should conduct their business. This chapter outlines key principles on handling market disruption events.

7.2 General description

Market disruption events refer to circumstances where **normal trading or settlement of financial transactions are inhibited, or have become impossible or illegal**, due to **governmental actions, natural catastrophes, civil disorders or other causes beyond the control of any individual market participant**. The exact period of disruption **may or may not be determinable**.

Market disruptions may be caused by exceptional events such as the following, noting that the list is **not exhaustive**:

- **i. Unscheduled non-business days.** Every country or city has its own schedule of public holidays and non-business days, usually **announced and gazetted well in advance**. However, unforeseen circumstances — **epidemic outbreaks, serious civil disorder, havoc caused by severe weather or natural catastrophes, terrorist attacks** — may force the government of a country or city to **declare a non-business day** where the country or city cannot function normally.
- **ii. Unforeseen market events.** An unforeseen event may trigger a **sudden wave of collapse of financial institutions or large corporations**, affecting the stability of financial markets. It may cause a **liquidity squeeze, a collapse in equity markets, or default in payment by debt issuers**. Such circumstances may lead to **panic among market participants**, who may be forced to take **unusual steps to contain risk or reduce market exposure** to prevent financial loss.
- **iii. Sudden changes of national practices or policies by the government or central bank.** This refers to a **sudden and dramatic change of policy or practice** impacting the normal functioning of financial markets. For example, during the **Asian financial crisis of 1997–1998**, the **Malaysian authorities unilaterally pegged the USD/MYR exchange rate at MYR 3.8000 per USD**, causing **significant confusion** in markets that had until then traded a freely floating USD/MYR.

7.3 The role of the SFEMC

The **role of the SFEMC** in a market disruption event **depends on the nature of the event and the magnitude of its impact** on the wholesale financial markets in Singapore. It is generally envisaged that the SFEMC would **work closely with market participants, related industry bodies both locally and overseas, and regulators** to **minimise uncertainties and impact** on trading and settlement operations.

In the event of **significant market disruptions**, the SFEMC will, **where appropriate, endeavour to make clear recommendations on appropriate settlement arrangements** for affected transactions. **All members of the SFEMC agree to adopt such recommendations to the fullest extent possible**, taking into consideration all relevant circumstances.

The SFEMC's role is limited. Notwithstanding the above, its role is limited to **offering practical recommendations to market participants to minimise the risks created by a disruption**. Market participants must still **negotiate bilaterally with their counterparties in accordance with any contractual terms agreed between them** to achieve a satisfactory resolution of affected transactions or obligations — though they are **strongly encouraged to adopt the SFEMC's recommendations**.

Actions the SFEMC has taken in the past to manage market disruptions:

- **i. convened a meeting of members** to discuss issues;
- **ii. developed a proposal** on appropriate measures and codes of conduct to manage market disruptions;
- **iii. discussed the proposal with regulators and other relevant market participants** — clearing houses, exchanges — to **get their consent to implement** it;
- **iv. issued statements** to get market participants to follow the announced measures and codes of conduct; and
- **v.** where a **market fixing arrangement is required**, **made clear recommendations on procedures to determine the fixing rate** and **monitored the behaviour or actions** of market participants to ensure compliance with those recommendations **to the fullest extent possible**.

7.4 Communication during market disruptions

Market participants should, **to the fullest extent possible, maintain effective communication with their counterparts and other related parties — settlement agents, clearing platforms, customers and MAS** — throughout a market disruption event. This applies **regardless of whether an operation remains in Singapore or has to be relocated elsewhere** because of the nature of the event.

How the SFEMC disseminates information. The SFEMC will endeavour to disseminate its recommendations or other information through the **most efficient means available**, including but not limited to:

- **announcements through its website**;
- **broadcasts through MASNET**; or
- **direct telephone contacts with, or e-mails to, senior management** of market participants.

Market participants are also **encouraged to establish contacts with the Secretary of the SFEMC** where needed.

7.5 Ethical standards and conduct during market disruptions

Market participants are expected to **uphold the highest standards of professionalism not only under normal market conditions but more so during a crisis**.

All negotiations between market participants should be carried out in **utmost good faith** and by persons **properly authorised** by their respective firms. It is **deemed bad practice for any market participant to withdraw from an agreement** on the ground that a representative **did not have sufficient authority** during the negotiation.

Measures senior management should implement. Senior management should ensure that:

- **i. dealing representatives are not using the disruption to speculate**;
- **ii. all deals are executed by authorised personnel**;
- **iii.** dealing representatives **honour and conclude trades at prices and rates confirmed with counterparties**, **even though he or she may suffer a loss** as markets move against the positions;
- **iv.** dealing representatives have **applied appropriate measures** — such as **telephones with voice recorders** or **using a dealing system where details of the deal are recorded** — to execute trades, since these can be used as **evidence to resolve trade disputes**; and
- **v. settlement of trades is done in accordance with market best practice and procedures**.

7.6 Settlement during market disruptions

The relevant **Master Agreements or other contractual documentation** between market participants **will typically prescribe settlement arrangements** to be applied during disruption events. In general, settlement during disruptions **should therefore always be guided by the relevant contractual obligations** laid down by the Master Agreement or other documentation between the parties.

7.6.1 Alternative settlement procedures

FX transactions require settlement of two currencies on the same value date. In the event that one currency's settlement is affected by a market disruption event, the settling parties should, **as far as possible, establish a clear understanding of each other's intention before the value date** in respect of settlement of the unaffected currency.

Alternative settlement practices and procedures that can be applied:

- **i.** the **value date, settlement date, maturity date or fixing date** of the trade falling on the specific date should be **adjusted by extending the date to the next business day**;
- **ii.** the **value dates in FX transactions may need to be dates where both parties agree**, or where **special local practice allows for split delivery**;
- **iii.** the affected parties should **agree to adjust the exchange rate according to the prevailing relevant swap mid-rate**;
- **iv. support staff must perform deal confirmations swiftly** to avoid any potential dispute with the dealing party; or
- **v.** the **settlement department must perform extra due diligence checks** — for example the recommended settlement procedures given by the **SFEMC or MAS** — **before making payments** on affected trades with counterparties.

7.6.2 Unilateral suspensions of settlement are to be avoided

Unilateral suspension of settlements not only increases credit risk but might also trigger systemic risk, and as such **should be avoided**.

Market participants should **not perform unilateral suspension of settlements by not fulfilling settlement obligations to counterparties**. If a counterparty fails to receive cash or security on a settlement date, it **may in turn be unable to settle another transaction with another party**. This failed settlement generates **additional credit risk exposure to trade counterparties**, and the **chain effect of a series of failed settlements might trigger systemic risk**.

The source illustration is the failure of **hedge funds to meet some settlement obligations**, which contributed to the **collapse of Lehman Brothers** and the chain effect on US and other global financial markets. Unilateral suspension should therefore be avoided.

7.6.3 SGD settlement disruptions

Where **settlements in Singapore dollars have been disrupted** by unforeseen events, market participants should **follow closely the instructions issued by MAS**.

7.7 Central counterparty rules

In an effort to **reduce pre-settlement risk**, central banks around the world have **mandated that long-dated FX forward and interest rate swap OTC transactions be cleared on a central counterparty (CCP) or clearing house**. This requires **both counterparties to place margin deposits with the clearing house, proportionate to their exposures**, which can be used to **cover unrealised losses in the event of default by either counterparty**.

Market participants should **follow the applicable rules of the relevant CCP in relation to market disruptions**, where transactions have been registered with a CCP for clearing.

Exam cues

- **The definition of a market disruption turns on three elements**: normal trading **or** settlement is **inhibited, impossible or illegal**; the cause is **governmental action, natural catastrophe, civil disorder or other cause beyond any individual participant's control**; and the period **may or may not be determinable**.
- **The three named event types** are unscheduled non-business days, unforeseen market events, and sudden changes of national practices or policies by a government or central bank.
- **The Malaysian peg of MYR 3.8000 per USD during the 1997–1998 Asian financial crisis** is the source's example of a sudden policy change — a likely factual question.
- **SFEMC's role is recommendatory, not binding.** It convenes, proposes, consults, issues statements and recommends fixing procedures — but participants still **negotiate bilaterally under their contracts**, albeit being **strongly encouraged** to adopt the recommendations.
- **SFEMC dissemination channels**: website announcements, **MASNET** broadcasts, and direct telephone or e-mail contact with senior management; participants may also contact the **Secretary of the SFEMC**.
- **Five SFEMC past actions** are examinable in sequence: convene, propose, consult regulators and participants, issue statements, recommend and monitor fixing procedures.
- **Negotiations must be in utmost good faith and by properly authorised persons.** Withdrawing from an agreement because a representative **lacked authority** is expressly **bad practice**.
- **Honour confirmed prices and rates even at a loss** — that is the source's ethical standard during disruption, not an aspiration.
- **Voice recorders and dealing systems serve as evidence** to resolve trade disputes; that evidentiary purpose is the examinable reason for the control.
- **Five alternative settlement procedures for FX**: roll to next business day; agree value dates or split delivery where local practice allows; adjust the exchange rate to the prevailing **relevant swap mid-rate**; confirm swiftly; and apply extra due-diligence checks per SFEMC or MAS guidance before paying.
- **Unilateral suspension is prohibited in substance**, on the reasoning that failed settlements create credit exposure and can cascade into systemic risk — the **Lehman Brothers** chain effect is the illustration.
- **For SGD disruptions, follow MAS instructions** — not SFEMC recommendations, and not bilateral improvisation.
- **CCP clearing was mandated for long-dated FX forwards and interest rate swaps** to reduce **pre-settlement risk**, with margin proportionate to exposures covering unrealised losses on default.

- **Trap:** the SFEMC does **not** have power to compel. A question that offers "SFEMC may direct participants to settle" is wrong; it recommends, and participants are strongly encouraged to adopt.
- **Trap:** a disruption does **not** automatically entitle a party to suspend payment unilaterally — the applicable agreement, law or competent authority must authorise it.

Benchmark Rate Setting

Benchmark integrity depends on the full chain from evidence and submission to calculation, governance, publication, surveillance and audit. Conflicts and influence are recurring themes.

8.1 Introduction

Benchmarks are reference rates or prices used in valuation, contracts, settlement and risk management. Their credibility depends on reliable inputs, transparent methodology, independent controls and ethical conduct.

8.1.1 Surveyed vs Traded Benchmarks

Surveyed benchmarks use contributor judgement or quotations; traded benchmarks use eligible transaction data. The evidence, controls and risks differ, but both require integrity and a reasonable basis.

8.1.2 IOSCO Role

IOSCO principles provide an international reference for benchmark governance, methodology, quality, accountability and oversight. They inform good practice but do not replace Singapore law or the relevant administrator's rules.

8.2 Parties

Benchmark governance separates oversight, administration, calculation and contribution responsibilities. Clear role allocation reduces conflicts and makes accountability traceable.

8.2.1 Oversight Committee

An oversight committee monitors the benchmark framework, methodology, conflicts, complaints and changes. It provides governance challenge rather than making unauthorised dealing decisions.

8.2.2 Benchmark Administrator

The administrator owns or oversees the methodology and process, sets governance and controls, manages contributors and publishes or arranges publication of the benchmark.

8.2.3 Calculation Agent

The calculation agent applies the published methodology to eligible inputs and calculates the benchmark. It needs reliable data, controls, auditability and appropriate escalation for anomalies.

8.2.4 Submitter

A submitter contributes rates or transaction information on behalf of a market participant. Submissions must be authorised, representative, evidence-based, controlled and protected from influence.

8.3 Market Practices

Contributions should be based on the applicable hierarchy of evidence and the published methodology. Judgement is permitted only where supported, documented and not used to manipulate the result.

8.3.1 Reasonable Basis

A reasonable basis may include actual transactions, relevant market data, quotes and documented expert judgement in the permitted hierarchy. The submitter should retain evidence for the contribution.

8.3.2 Traded Benchmarks

Traded-benchmark inputs should be bona fide eligible transactions with accurate timestamps and an audit trail. A trade executed to move or later cancel the benchmark is prohibited manipulation.

8.3.3 Limited Liquidity

When liquidity is limited, a submitter may use the next permitted evidence level, such as related transactions, proxy assets, indicative prices or expert judgement, with adjustments and documentation.

8.4 Code of Conduct

Submitters must act with integrity, professionalism and ethical standards, follow the methodology, substantiate contributions, manage conflicts and protect the contribution process from influence.

8.4.1 Integrity/Professionalism/Ethics

Policies should exclude unsuitable data, support objective evidence, mitigate conflicts, preserve electronic trade integrity and prevent inappropriate influence on staff involved in submissions.

8.4.2 Benchmark Commentary

A person responsible for contributions should not comment before publication where possible. If commentary is permitted, actual, potential or perceived conflicts must be prominently disclosed in writing.

8.4.3 Prohibited Behaviour

Collusion, wash trading, deliberately inappropriate prices, cancelling trades after the calculation window and withholding bona fide trades to affect a benchmark are prohibited. Genuine competitive trades remain legitimate.

8.4.4 Non-Overseen Benchmarks

For a benchmark not overseen by the administrator, the participant should follow the relevant owner's laws, regulations and practices. If none exist, the Blue Book requirements may guide conduct.

8.5 Best Practices

Best practice combines fit-and-proper staff, supervision, information management, records, confidentiality, segregation, escalation, surveillance and independent assurance.

8.5.1 Experience/Seniority/Character

Contributors should have appropriate experience, seniority, fit-and-proper character, training and formal authority. Responsibility should not be delegated to an inexperienced person simply because the task is inconvenient.

8.5.2 Supervision

Supervision includes dual controls, pre-submission validation and a checker senior enough to challenge the submitter. Oversight should be documented rather than assumed.

8.5.3 Information Management

Historical submissions, trends and exceptions should be analysed and presented to the appropriate risk forum. Information management supports detection of drift, bias and unexplained changes.

8.5.4 Record Retention

Market data, submissions, supporting information, policies, deviations, staff roles and queries should be retained for at least five years or the longer period required by law.

8.5.5 Confidentiality

Contribution information must not be sent to people outside the contribution process except regulators or another permitted recipient. General market information may be exchanged if it does not reveal desired benchmark prices or protected contributions.

8.5.6 Conflicts/Segregation

Policies should minimise conflicts through appropriate seating, access and reporting separation among submitters, sales and trading and reviewers. Segregation should be proportionate and documented.

8.5.7 Escalation

Suspicious, inappropriate or breached contributions should be escalated through whistleblowing and management channels and, where appropriate, to the administrator and MAS.

8.5.8 Electronic Surveillance

Electronic communications involving submission parties should be monitored under appropriate surveillance controls, with alerts, review, retention and escalation for suspicious conduct.

8.5.9 Audit/QA

The benchmark process should be covered annually by independent audit or assurance, with results available to MAS on request. Product control or valuation functions may perform more frequent checks for surveyed benchmarks.

Exam cues

- **Surveyed vs traded:** surveyed uses contributor judgement/quotations; traded uses eligible transaction data. Both need integrity and a reasonable basis.
- **Parties:** oversight committee (governance challenge), administrator (owns methodology), calculation agent (applies it), submitter (contributes evidence). Clear role separation reduces conflicts.
- **Evidence hierarchy:** actual transactions → related/proxy transactions → indicative prices → documented expert judgement; only the next permitted level where liquidity is limited.
- **Prohibited:** collusion, wash trading, deliberately inappropriate prices, cancelling trades after the calculation window, withholding bona fide trades. A trade executed to move and later cancel the benchmark is manipulation.
- **Commentary:** avoid public comment before publication; if permitted, disclose actual, potential or perceived conflicts prominently in writing.
- **Records:** retain for at least **five years** or longer if required by law.
- **Trap:** genuine competitive trades remain legitimate — the prohibition targets intent to affect the benchmark, not trading itself.

Appendix A — Review Questions

Candidates should note that the **sole purpose of the Review Questions is to familiarise candidates with the scope and general nature of the examinations, and the format of the examination questions**. They are **not intended as preparatory study material**, and **do not cover all the material tested**. The correct answer for each question is in **bold** in the source booklet and is reproduced as **Answer** below. Where a question offers four statements (a–d) followed by combinations, the correct **combination** is given.

Chapter 1 — Introduction

1. Which of the following asset classes / products are covered in the Blue Book?

- **a.** Equity securities
- **b.** Non-deliverable forwards (NDFs)
- **c.** Money market instruments
- **d.** OTC derivatives

Options: (a) and (b) · (b) and (c) · **(b), (c) and (d)** · (a), (b) and (c)

Answer: (b), (c) and (d).

2. Which of the following statements relating to Capital Markets Services (CMS) licences is CORRECT?

- **a.** A CMS licence holder must either be a Bank or a Merchant Bank and cannot be other types of financial institutions.
- **b. Merchant Banks can carry out any regulated activities under the Securities and Futures Act (SFA) without being separately licensed as a CMS licence holder under the SFA.**
- **c.** Merchant Banks can ignore the business conduct requirements prescribed in the SFA in respect of the regulated activities under the SFA.
- **d.** The MAS must grant a CMS licence to merchant banks in order for them to conduct any regulated activities under the SFA.

Answer: b.

Chapter 2 — Ethics, Behavioural Standards and Professional Conduct

3. Which of the following statements relating to guidelines on entertainment, gifts and favours is TRUE?

- **a. Representatives can buy gifts for customers that are not so excessive that they are viewed as an offer of inducement to conduct business.**
- **b.** IDBs cannot make lunch appointments with Representatives.
- **c.** IDBs must obtain permission from the Compliance Department before making any dinner appointments with customers.
- **d.** Without approval from the Compliance department, Representatives cannot buy gifts for customers.

Answer: a.

4. Which of the following statements relating to dealing for personal accounts is TRUE?

- **a.** Representatives can start trading for their own account once they have provided the account details to the Compliance department.
- **b.** Representatives cannot execute any personal trade on the same securities placed by customers.
- **c. Representatives must avoid any conflicts of interest with their professional roles while dealing for personal accounts.**
- **d.** Representatives should strictly not be allowed to deal for personal accounts.

Answer: c.

5. Which of the following are considered "persons deemed connected to a dealing staff member"?

- **a.** Friends connected through Facebook.
- **b.** A nephew living in the same house as the staff.
- **c.** A staff member's spouse.
- **d.** Step-children of the staff member.

Options: (a) and (b) · (b) and (c) · **(b), (c) and (d)** · (c) and (d)

Answer: (b), (c) and (d).

6. Under which circumstance would a Market Participant be required to submit a "Misconduct Report" to MAS?

- **a.** The Representative has been fined for smoking in a non-smoking area.
- **b. The Representative has done trades which artificially inflate market prices.**
- **c.** The Representative has done trades with a counterparty with a low credit rating.
- **d.** The Representative has the habit of buying lottery tickets on a weekly basis.

Answer: b.

7. Which of the following statements most correctly describes the appropriate action a Market Participant should take when it receives money from or on behalf of a customer?

- **a.** The Market Participant can use the money for purposes approved by the Compliance Department.
- **b.** The Market Participant can use the money for purposes approved by the Head of Trading.
- **c.** The Market Participant cannot use the money at all.

- **d. The Market Participant must use the money for any purpose as instructed by the customer.**

Answer: d. — Customer money is applied **as the customer directs**; internal approval does not widen the permitted use.

8. Under what situation must a Market Participant provide its customer with a separate written risk disclosure document as prescribed under the Securities and Futures Act?

- **a. When the customer wants to open a leveraged foreign exchange trading account.**
- **b.** When the customer wants to open a securities trading account.
- **c.** When the Market Participant does not perform Enhanced Due Diligence.
- **d.** When the trade has increased the risk exposure of the customer.

Answer: a.

Chapter 3 — Confidentiality and Information Sharing

9. Which of the following statements is TRUE about confidentiality and customer anonymity principles?

- **a. Customer data should be disclosed in accordance with the applicable laws and regulations.**
- **b.** Customer verification can only be done by checking with the customer directly.
- **c.** The customer must complete the account opening form in front of the employee in the bank branch.
- **d.** The responsibility for maintaining confidentiality of information rests with the customer.

Answer: a. — Confidentiality rests with the **Market Participant**, not the customer, and verification may be done through independent sources.

10. Which of the following would be considered confidential information in relation to financial markets?

- **a.** Customer or counterparty name, and any other information that may lead to the identification of the customer or counterparty.
- **b.** Details of a Market Participant's order book.
- **c.** Spread matrices provided by Market Participants to their clients.
- **d.** Spreads on bids and offers available in the market.

Options: **(a), (b) and (c)** · (b) and (c) · (b), (c) and (d) · (c) and (d)

Answer: (a), (b) and (c).

11. Market Participants only disclose confidential information to internal and/or external parties under specific circumstances, such as:

- **a.** When required under the Income Tax Act (Cap 134).
- **b.** When required under the Banking Act, Section 47 — Banking Secrecy, and Parts I and II of the Third Schedule.
- **c.** To investigate or prosecute an offence that is alleged or suspected to have been committed.
- **d.** When required by other Market Participants.

Options: **(a), (b) and (c)** · (b) and (c) · (b), (c) and (d) · (c) and (d)

Answer: (a), (b) and (c). — A request from another Market Participant is **not** a lawful basis for disclosure.

12. Market Participants should communicate in a manner that is clear, accurate, professional and not misleading. To ensure this, Market Participants should do which of the following?

- **a.** Not communicate false information.
- **b.** Not provide misleading information in order to protect confidential information (i.e. when executing partial orders).
- **c.** Decline to disclose whether their request to transact is in the full quantity of the order or not.
- **d.** Not identify opinions as opinions.

Options: (a), (b) and (c) · (b) and (c) · **(a) and (b)** · (c) and (d)

Answer: (a) and (b).

13. Market Participants should communicate market colour appropriately and without compromising confidential information. Which of the following are appropriate ways to share market colour?

- **a.** Bank Salesperson to hedge fund: "We've seen large NZD/USD demand from Real Money names this morning."
- **b.** Asset manager to bank market maker: "Can you give me some colour around the 100 point rally in GBP/USD in the past hour?"
- **c.** Bank salesperson to hedge fund: "We've seen large NZD/USD demand from Royal Bank of Singapore this morning."
- **d.** Market maker to hedge fund: "Yen liquidity has deteriorated. Just now it took me 15 ticks to cover my sale of 100 million USD/JPY to a Japanese automaker."

Options: (a) and (d) · (b) and (c) · **(a) and (b)** · (c) and (d)

Answer: (a) and (b). — Naming a specific counterparty (c) or describing a specific client's trade in identifiable detail (d) breaches confidentiality.

Chapter 4 — Governance, Risk Management and Compliance

14. Which one of the following statements relating to segregation of duties is TRUE?

- **a.** Back office staff should not have any communication with front office personnel.
- **b.** It is acceptable for front office, middle office and back office to share access to their respective systems.
- **c. Management should establish appropriate information barriers between trading, risk management and processing units.**
- **d.** Market Participants should not share any trading profit and loss reports with the middle office.

Answer: c.

15. What would be an effective internal control procedure to mitigate the risk of rogue traders committing fraud?

- **a.** Front office personnel cannot communicate with staff in the processing unit to resolve issues.
- **b.** Front office personnel should not contact middle office staff to resolve trade related issues.
- **c. Front office personnel should not have access rights to middle office systems to process trades.**
- **d.** Front office personnel should not physically be at the back office department area.

Answer: c. — The control is **system access**, not a ban on communication.

16. Which of the following constitute anti-money laundering (AML) and know-your-customer (KYC) requirements that are relevant to Market Participants?

- **a.** Establish internal procedures and controls to mitigate AML and KYC risk.
- **b.** Establish procedures to inform customers when a report has been made to the authorities for suspicious transactions.
- **c.** Maintain records of all CDD documentation.
- **d.** Perform customer due diligence (CDD) for all customers.

Options: (a) and (b) · (c) and (d) · (a) and (c) · **(a), (c) and (d)**

Answer: (a), (c) and (d). — **Tipping off** a customer that a suspicious transaction report has been made is itself an offence.

17. Which of the following is an example of operational risk?

- **a.** Risk of losses as a result of an adverse movement in the markets.
- **b.** Risk of losses due to holding a short position in a particular financial instrument.
- **c. Risk as a result of inadequate processes and controls.**
- **d.** Risk caused by a counterparty going bankrupt.

Answer: c.

18. Which one of the following actions should be taken to minimise losses when a customer fails to meet margin top-up requirements?

- **a. Close out the customer's positions if margin calls remain unanswered.**

- **b.** Contact the customer to request settlement instructions.
- **c.** Execute a trade for the customer that hedges against the loss-making position.
- **d.** Issue a contract note on the trade done.

Answer: a.

19. Which of the following is a key control that should be implemented for off-premises dealing?

- **a.** Trade details of "off-premises" trades should be clearly documented on the letterhead of the Market Participant.
- **b.** Trade details of "off-premises" trades should be clearly reported to the Compliance Department.
- **c.** Trade details of "off-premises" trades should be clearly reported to the Risk Department.
- **d. Trade details of "off-premises" trades should promptly be reported to the counterparty via approved communication channels.**

Answer: d.

20. In business continuity planning, which of the following is MOST important?

- **a.** A contingency plan for front office Representatives to ensure that they can continue dealing in any market disruption event.
- **b. A contingency plan for treasury operations in the front, middle and back offices to ensure that these operations can continue in any market disruption event.**
- **c.** A contingency plan for Representatives to work from home to continue performing treasury operations in the front, middle and back office areas in any market disruption event.
- **d.** Internal Standing Instructions to withhold all payments during any market disruption event.

Answer: b. — Coverage must span **front, middle and back office**; withholding all payments (d) contradicts the prohibition on unilateral suspension.

21. Which of the following statements are TRUE about the use of technology within trading and risk management?

- **a.** "Open source" system architecture is encouraged to allow integration of customer systems.
- **b.** Representatives should have ready access to all systems to facilitate timely processing of transactions.
- **c.** Sufficient capacity should be maintained for normal and peak loads.
- **d.** Data confidentiality should be preserved by encrypting messages.

Options: (a) and (d) · (b) and (d) · (a) and (c) · **(c) and (d)**

Answer: (c) and (d).

22. Why should Market Participants obtain their own legal, tax and accounting advice before executing any OTC derivative trade?

- **a.** To advise on the credit risk posed by derivative transactions.
- **b.** To determine if their licence granted by the MAS legally allows them to engage in derivative trading.
- **c.** To determine the pay-out accounting structure that results in the lowest tax payable.
- **d. To gain clarity on the handling of market disruptions, as well as tax and accounting implications.**

Answer: d.

23. Which of the following should be undertaken when a Market Participant appoints an IDB?

- **a.** Conduct the "Know Your Customer" process of the IDB.
- **b.** Determine the position limits assigned to the IDB.
- **c.** Perform a credit evaluation of the IDB.
- **d.** Ask the IDB to provide market colour and predict investment trends.

Options: (a) and (b) · (c) and (d) · **(a), (b) and (c)** · (a), (c) and (d)

Answer: (a), (b) and (c).

Chapter 5 — Execution and Handling of Orders

24. What should be done by an IDB when it receives an order from a Principal with special conditions?

- **a. IDBs must accurately relay the special conditions to the counterparties.**

- **b.** IDBs should advise the Principal not to impose the special conditions.
- **c.** IDBs should exclude the special conditions.
- **d.** IDBs should increase their brokerage for orders with special conditions.

Answer: a.

25. Which of the following actions should NOT be done by IDBs?

- **a. Engage in taking its own positions by executing its own trades.**
- **b.** Provide settlement instructions to the counterparties.
- **c.** Provide the names of the counterparties after the deal has been concluded.
- **d.** Relay price quotations upon receipt of an order from a counterparty.

Answer: a. — An IDB acts as an intermediary and must not take **principal** positions.

26. If a price maker's price is dealt simultaneously by two or more IDBs, what must the price maker do?

- **a.** Choose which IDB to honour his quoted amount.
- **b.** Honour, subject to limit, his quoted amount, split equally with each IDB.
- **c.** Honour, subject to limit, his quoted amount, with each IDB.
- **d. Honour, subject to limit, the minimum dealing amount with each IDB.**

Answer: d.

27. What types of transactions are restricted under MAS's regulations on Lending of Singapore Dollar to Non-Resident Financial Institutions?

- **a.** A foreign bank in Singapore executes a EUR/SGD FX swap where the first leg is to buy SGD 10 million from its Head Office in Europe.
- **b.** A foreign bank in Singapore executes a EUR/SGD FX swap where the first leg is to sell SGD 10 million to its Head Office in Europe.
- **c.** A foreign bank in Singapore lends SGD 6 million to a finance company licensed in Singapore.
- **d.** A foreign bank in Singapore lends SGD 6 million to its head office in Europe.

Options: (a) and (d) · **(b) and (d)** · (a) and (c) · (b) and (c)

Answer: (b) and (d). — The restriction targets **SGD lending to non-resident institutions**, including via a swap leg that sells SGD offshore.

28. Which of the following is TRUE about "stop-loss" orders?

- **a. There is no guarantee of fixed price execution to the counterparty.**
- **b.** The trade should be immediately concluded at the highest market price with the counterparty.
- **c.** The trade should be immediately concluded at the lowest market price with the counterparty.
- **d.** Trade will be executed at a fixed price with the counterparty.

Answer: a. — A stop-loss converts to a **market order** once triggered, so slippage is possible.

29. What is the appropriate practice for trade cancellations?

- **a.** Trades can be cancelled before the settlement date.
- **b.** Trades must always be cancelled if the price traded is not representative of the prevailing market price.
- **c. Trades will only be subject to cancellation where both parties to the trade agree to the cancellation.**
- **d.** Trades with minor errors in their notional value should be subject to cancellation.

Answer: c.

30. What are the market trading hours for foreign exchange transactions?

- **a. 0500h Sydney time on a Monday morning to 1700h New York time on a Friday.**
- **b.** 0900h to 1700h daily.
- **c.** 0900h to 1700h from Monday to Friday.
- **d.** 0900h Sydney time on a Monday morning to 1700h New York time on a Friday.

Answer: a. — Note **0500h** Sydney, not 0900h: the FX market runs continuously from the Sydney open to the New York close.

31. Which of the following should be observed when trading FX swaps?

- **a.** The forward rate of the far leg of the FX swap should be determined on the value date of the near leg.
- **b.** The near leg of the FX swap must always be value spot.
- **c.** The price maker has the right to set the spot rate in an FX swap.
- **d. The setting of the spot rate in an FX swap transaction should be done immediately after a price has been hit and before clearing of the counterparty's name.**

Options: **(a) and (d)** · (c) and (d) · (a) and (c) · (b) and (c)

Answer: (a) and (d).

32. Jane is an FX dealer. What should Jane do before transacting an off-market rate FX trade with a corporate customer?

- **a. Obtain the express approval of her own Senior Management.**
- **b.** Obtain the express approval of the customer's senior management.
- **c.** Obtain the express approval of MAS.
- **d.** Obtain the express approval of the SFEMC.

Answer: a.

33. A Market Participant does not have sufficient limits to accommodate the counterparty's full amount but is trying to raise limits. What action should be taken?

- **a.** Ask the IDB to commit the trade with the counterparty.
- **b.** Execute the trade and obtain approval from the credit risk department later.
- **c. Indicate the minimum amount required that can be done.**
- **d.** Inform the IDB that it does not have sufficient limits.

Answer: c. — The participant should state what it **can** do, not merely decline.

34. What should a Market Participant do before it enters into a trade as principal with a customer in respect of securities traded on a local or overseas securities exchange?

- **a.** Indicate the types of securities to be dealt with the customer.
- **b.** Instruct the customer to engage an agent to deal with the Market Participant.
- **c. Notify the customer that it acts as counterparty to the customer.**
- **d.** State the name of the securities exchange that the Market Participant will use to deal with the customer.

Answer: c. — Capacity of the firm must be **disclosed before** dealing as principal.

35. Which of the following statements concerning conduct of business in Singapore Government Securities is CORRECT?

- **a. A dealer must send a confirmation note of the transaction to its counterparty not later than the next business day.**
- **b.** A dealer must send a confirmation note of the transaction to its counterparty on trade day via MEPS+.
- **c.** A dealer must send a confirmation note of the transaction to its counterparty on trade date via secured media.
- **d.** A dealer must send a confirmation note of the transaction to its counterparty on trade day via SWIFT.

Answer: a.

36. To avoid any misunderstanding while executing money market transactions, which appropriate action should be taken by Market Participants?

- **a.** Apply the standard value date, tenor and marketable amount when quoting the price.
- **b.** State the precise settlement amount of the transaction clearly to their counterparties when quoting the price.
- **c. State the settlement dates of the transaction clearly to their counterparties when quoting the price.**
- **d.** State the trade date of the transaction clearly to their counterparties when quoting the price.

Answer: c.

37. Which of the following statements about delta hedges in interest rate option transactions is TRUE?

- **a.** Delta hedges only apply to foreign exchange options and are not applicable to interest rate options.
- **b.** It is assumed that a simultaneous delta hedge will be entered into.
- **c. It is assumed that a simultaneous delta hedge will not be entered into.**
- **d.** There is no standard market convention; delta hedges should be explicitly discussed in the terms.

Answer: c.

Chapter 6 — Confirmation and Settlement

38. What are the purposes of generating trade confirmations?

- **a.** To advise the counterparty of the full details of the trade executed.
- **b.** To detect any incorrect economic details of the trade.
- **c.** To minimise operational risk.
- **d.** To obtain approval from Senior Management for the trade executed.

Options: (a) and (b) · (c) and (d) · **(a), (b) and (c)** · (a), (c) and (d)

Answer: (a), (b) and (c).

39. Which of the following statements relating to market practices on settlement is CORRECT?

- **a.** The beneficiary of the payment must always be the counterparty or one of its branches.
- **b.** The beneficiary of the payment must only be requested at the time of payment.
- **c. Market Participants can make third party payments if it is instructed by the counterparty with a valid reason and documentation.**
- **d.** Market Participants must report to MAS when it makes third party payments.

Answer: c.

40. Which of the following statements is TRUE about the rights of the non-defaulting party in an Interest Rate Derivative transaction, under the terms of the ISDA Master Agreement?

- **a.** The non-defaulting party may exercise its right to apply margin received from the defaulting counterparty to reduce the outstanding amount owed by the counterparty.
- **b.** The non-defaulting party may exercise its right to close-out and net all transactions with all counterparties covered by the Master Agreement to reduce its credit exposure.
- **c. The non-defaulting party may exercise its right to close-out and net all transactions executed with the defaulting counterparty (that are covered by the Master Agreement) to reduce its credit exposures.**
- **d.** The non-defaulting party may exercise its right to demand payment to reduce the outstanding amount owed by the defaulting counterparty.

Answer: c. — Netting runs against **the defaulting counterparty**, not all counterparties.

41. What are the core documents that make up the ISDA Master Agreement?

- **a.** Credit Support Annex.
- **b.** Master Agreement.
- **c.** Schedule.
- **d.** Trade confirmation template.

Options: (a) and (d) · (c) and (d) · (a) and (c) · **(b) and (c)**

Answer: (b) and (c).

Chapter 7 — Handling Market Disruptions

42. What are possible actions to be taken by SFEMC to manage market disruption?

- **a.** Convene a meeting of members to discuss issues.
- **b.** Discuss proposals with regulators and other relevant Market Participants to manage the disruption.
- **c.** Issue statements to get Market Participants to follow the announced measures and codes of conduct.
- **d.** Make clear recommendations on procedures to determine the fixing rate.

Options: (a) and (b) · (c) and (d) · (a), (b) and (c) · **(a), (b), (c) and (d)**

Answer: (a), (b), (c) and (d).

43. What is the most important action that Market Participants should do during market disruptions?

- **a. Maintain effective communication with their counterparts, settlement agents, customers and MAS.**
- **b.** Maintain non-stop communication with their counterparts, customers and MAS.
- **c.** Record all communications with their counterparts and report to MAS.
- **d.** Use multimedia to communicate effectively with their counterparts, customers and MAS.

Answer: a. — **Effective** communication is the standard, not **non-stop** communication or blanket recording.

44. Which of the following actions should be undertaken during a market disruption to ensure proper settlement of SGD trades?

- **a. Follow the settlement instructions issued by MAS.**
- **b.** Follow the guidelines given by SFEMC.
- **c.** Follow the agreed settlement instruction as stated in the trade confirmation.
- **d.** Follow the recommendations made by SFEMC and MAS.

Answer: a. — For **SGD** settlement the source is specific: follow **MAS instructions**.

Chapter 8 — Benchmark Rate Setting

45. Which of the following parties are involved in the benchmark rate setting process?

- **a.** Benchmark Administrator.
- **b.** Benchmark Submitter.
- **c.** The Association of Banks in Singapore (ABS).
- **d.** The Monetary Authority of Singapore (MAS).

Options: **(a) and (b)** · (c) and (d) · (a) and (c) · (b) and (c)

Answer: (a) and (b).

46. With regard to handling customer fixing orders in relation to Traded Benchmarks, which of the following actions are acceptable?

- **a.** Buying a larger amount than the customer's interest to inflate the price against the customer.
- **b. Collecting all customer interest and executing the net amount.**
- **c.** Informing other Market Participants of a specific customer dealing at the fixing rate.
- **d.** Showing large interest in the market during the fixing calculation window to manipulate the fixing price.

Answer: b. — **Netting customer interest** is the accepted practice; the other three are manipulative or breach confidentiality.

47. To avoid conflicts of interest, what action should be taken by a dealer who is responsible for both benchmark contributions and providing opinions on benchmarks?

- **a.** Provide opinions on benchmarks for which he is responsible as long as they are not published.
- **b. Declare the conflict of interest and only express his opinions on benchmarks after benchmark publication.**
- **c.** Stop providing opinions on benchmarks.
- **d.** Ask his colleague to submit his benchmark contribution on his behalf.

Answer: b.

48. Which of the following statements describes the best practice that should be adopted by the dealer who is responsible for determining the contributions of a benchmark?

- **a.** The dealer should be seated in a separate location clearly segregated from the trading room.
- **b.** The dealer should retain the documentation of submissions and information relied upon for the benchmark determination for 90 days.
- **c.** The dealer should not attend any briefing given by the economist employed by the Market Participant.
- **d. The dealer should not provide information on contributions to any party who is not responsible for the benchmark contribution process.**

Answer: d.

Answer key at a glance

Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	(b), (c), (d)	13	(a), (b)	25	a	37	c
2	b	14	c	26	d	38	(a), (b), (c)
3	a	15	c	27	(b), (d)	39	c
4	c	16	(a), (c), (d)	28	a	40	c
5	(b), (c), (d)	17	c	29	c	41	(b), (c)
6	b	18	a	30	a	42	all four
7	d	19	d	31	(a), (d)	43	a
8	a	20	b	32	a	44	a
9	a	21	(c), (d)	33	c	45	(a), (b)
10	(a), (b), (c)	22	d	34	c	46	b
11	(a), (b), (c)	23	(a), (b), (c)	35	a	47	b
12	(a), (b)	24	a	36	c	48	d

How to use these questions

The set **familiarises candidates with scope, general nature and format**; it does not cover all examination material and is not a substitute for the chapters. Several answers turn on a single qualifying word, and those are worth studying first:

- **Q7** turns on *whose* instruction governs the use of customer money — the **customer's**, not an internal approver's.
- **Q9** reverses the party who bears confidentiality: it rests with the **Market Participant**.
- **Q11** rules out disclosure merely because **another Market Participant requests it**.
- **Q13** separates acceptable **market colour** (aggregated or anonymous) from naming a counterparty or describing a client's trade in identifiable terms.
- **Q15** is about **system access rights**, not a prohibition on communication between desks.
- **Q16** excludes **tipping off** — informing a customer that a suspicious transaction report has been made is itself an offence.
- **Q20** requires **front, middle and back office** coverage, and rejects withholding all payments, which contradicts the no-unilateral-suspension principle.
- **Q25** and **Q26** define the IDB role: an IDB does not take principal positions, and a price maker dealt simultaneously must honour the **minimum dealing amount** with each IDB subject to limit.
- **Q28** turns on the difference between a stop-loss and a **fixed-price** execution — there is none; there is no price guarantee.
- **Q30** is the one to memorise precisely: **0500h Sydney Monday to 1700h New York Friday**.
- **Q33** rewards the answer that states what **can** be done rather than simply declining.
- **Q37** assumes **no simultaneous delta hedge**.
- **Q40** restricts close-out netting to transactions with the **defaulting counterparty**.
- **Q41** distinguishes the **core documents** (Master Agreement and Schedule) from the **Credit Support Annex** and confirmation templates.
- **Q43** prefers **effective** communication to **non-stop** communication.
- **Q44** is MAS-specific for **SGD** settlement.

The expanded question bank in `notes/fmrp/FMRP_QUESTIONS.md` covers these themes and adds application questions beyond the orientation set.

Appendix B — Essential Readings

The source list runs to **twenty-three items** across **five publishers**. Use the current version of each, and check whether the title, notice number or web location has changed. The full list follows, grouped by publisher as in the study guide.

Attorney-General's Chambers in Singapore (`https://sso.agc.gov.sg/`)

#	Instrument
1	**Securities and Futures Act**
2	**Securities and Futures (Licensing and Conduct of Business) Regulations**
3	**Securities and Futures (Financial & Margin Requirements for Holders of Capital Markets Services Lic**
4	**Banking Act, Section 47 (Banking Secrecy)**
5	**Income Tax Act**
6	**Deposit Insurance and Policy Owners' Protection Schemes Act**
7	**Corruption, Drug Trafficking and Other Serious Crime (Confiscation of Benefits) Act**
8	**Mutual Assistance in Criminal Matters Act**
9	**Terrorism (Suppression of Financing) Act**

These nine statutes supply the statutory backbone. The **SFA** carries licensing, conduct and market misconduct; the two sets of SFA regulations carry business conduct and the financial and margin requirements. The **Banking Act, section 47** governs banking secrecy and the permitted disclosures in Part I and Part II of the Third Schedule. The **Income Tax Act** and the **Deposit Insurance and Policy Owners' Protection Schemes Act** sit alongside the tax and depositor-protection material. The **CDSA**, **MACMA** and **TSOFA** operate as a package for financial crime.

Singapore Foreign Exchange Market Committee (`http://www.sfemc.org/`)

#	Instrument
10	**The Singapore Guide to Conduct & Market Practices for the Wholesale Financial Markets ("the Blue**

The Blue Book is the source of the **general dealing principles and market conduct**, the ethics and behavioural standards, governance and risk management principles, back office practices, and the dealing practices for individual instruments including **FX, debt securities, swaps and OTC derivatives**. It also supplies the **market disruption** material examined in Chapter 7.

Global Foreign Exchange Committee (`https://www.globalfxc.org/fx_global_code.htm`)

#	Instrument
11	**FX Global Code**

The FX Global Code supplies the **six leading principles** — ethics, governance, information sharing, execution, risk management and compliance, and confirmation and settlement — examined through Chapters 2 to 6.

MAS notices, guidelines and circulars (`www.mas.gov.sg`)

#	Instrument
12	**MAS Guidelines on Fit and Proper Criteria**
13	**Notice on Reporting of Misconduct of Representatives by Holders of CMS Licence and Exempt Finan**
14	**Notice on Minimum Entry and Examination Requirements for Representatives of Holders of CMS Lic**
15	**MAS Guidelines for Banks whose Business includes Dealing in Government Securities**
16	**Notice to Capital Markets Intermediaries on Prevention of Money Laundering and Countering the Fi**
17	**MAS Notice on Prevention of Money Laundering and Countering the Financing of Terrorism — Bank**
18	**Circular on Due Diligence Checks and Documentation in Respect of the Appointment of Appointed,**
19	**MAS Notice on Lending of Singapore Dollar to Non-Resident Market Participant — for Banks**
20	**MAS Notice on Lending of Singapore Dollar to Non-Resident Market Participant — for Merchant Ba**
21	**MAS Notice on Lending of Singapore Dollar to Non-Resident Market Participant for Capital Markets**
22	**Rules and Market Practices of the Singapore Government Securities Market** (`http://www.sgs.gov.sg/~`

Items 12 and 13 underpin the fit-and-proper and misconduct-reporting obligations; item 14 is the **minimum entry and examination** notice, which is the counterpart to the competency requirements in RES 1B Chapter 2. Item 15 supports the Government securities conduct material.

Items 16 and 17 are the **CMI** and **bank** AML/CFT notices respectively — the CMI notice applies directly, the bank notice is included for comparison. Item 18 sits behind the appointment due-diligence file.

Items 19 to 21 are a matched trio on SGD lending to non-resident market participants: one notice for **banks** (MAS 757), one for **merchant banks** (MAS 1105), and one for **CMS licence holders** (SFA 04-N04). Any question on the restriction must be read against the notice that governs the particular institution type — the same commercial transaction can fall under a different instrument depending on the entity.

Item 22 is the **SGS market rules and practices**, which is the source for the Government securities conduct requirements examined in Chapter 5.

Association of Banks in Singapore (`https://abs.org.sg/`)

#	Instrument
23	**ABS Co. — Rate Setting Benchmarks** (`https://abs.org.sg/industry-guidelines/rate-setting-benchmar`

Item 23 is the benchmark rate-setting material behind Chapter 8 — the codes of conduct for submitters and the best practices for surveyed and traded benchmarks.

How to read the list efficiently

Read the notice, not the Act, for operational detail. The SFA creates the offences and the licensing gate, but the *conduct* requirements a representative applies day to day — confidentiality, order handling, confirmations and settlement — are in the **SFR(LCB)** (item 2), the **Blue Book** (item 10) and the **FX Global Code** (item 11).

Read the guideline when the question is about discretion. Fit and proper (item 12) is a judgment-based test, so the guideline's factors matter more than any single rule.

Match the notice to the institution type. The SGD lending restriction (items 19–21) is the clearest example: three notices, three institution types, one substantive rule.

Treat the AML/CFT notices as a pair with a difference. Item 16 applies to CMIs; item 17 is the bank equivalent. Knowing which applies is examinable.

Do not neglect the peripheral statutes. The **Deposit Insurance and Policy Owners' Protection Schemes Act** (item 6) and the **Income Tax Act** (item 5) appear peripheral but support questions on depositor protection and on the permitted disclosures that override confidentiality.

Exam cues

- **Item 12 (FSG-01) is the fit-and-proper source**, not item 2. Confusing the guideline with the regulation is a common error.
- **Item 14 (04-N09) is the minimum entry and examination notice**; it is a different instrument from item 13 (04-N11), which covers **misconduct reporting**. The numbers are easy to transpose.
- **Items 19, 20 and 21 are three separate SGD-lending notices** — MAS 757 for banks, MAS 1105 for merchant banks, SFA 04-N04 for CMS licence holders. A question naming the institution determines the answer.
- **Item 16 (SFA04-N02) applies to CMIs; item 17 (Notice 626) applies to banks.** The study guide includes both so that the CMI regime can be read against the bank standard.
- **Item 22 is not on the MAS site** — the SGS rules and market practices sit on `sgs.gov.sg`, which is a useful discriminator in a question about publication source.
- **Item 23 is published by ABS, not MAS**, and is the only item covering benchmark rate setting.
- **Items 10 and 11 are different documents from different bodies**: the Blue Book is **SFEMC**, Singapore-specific and covers wholesale markets broadly (FX, debt securities, swaps, OTC derivatives); the FX Global Code is **BIS/GFXC**, global and FX-specific with **six principles**.

- **Item 4 is cited by section, not by whole Act** — section 47 and Parts I and II of the Third Schedule are the operative provisions on banking secrecy.

Cross-chapter exam method

For a scenario question, first identify the product and the participant's role. Then ask: what information is confidential; what authority or limit applies; which risk is being created; what confirmation or settlement control is needed; and who must be told or consulted? Prefer answers that are accurate, authorised, proportionate, documented and consistent with both law and market practice. Reject answers that rely on secrecy, unilateral action, later approval, informal permission, guaranteed prices or a customer's sophistication as a substitute for control.